

The Selection of Fixed-Value Investments

HAVING SUGGESTED a classification of securities by character rather than by title, we now take up in order the principles and methods of selection applicable to each group. We have already stated that the fixed-value group includes:

1. High-grade straight bonds and preferred stocks.
2. High-grade privileged issues, where the value of the privilege is too remote to count as a factor in selection.
3. Common stocks which through guaranty or preferred status occupy the position of a high-grade senior issue.

Basic Attitude Toward High-Grade Preferred Stocks. By placing gilt-edged preferred stocks and high-grade bonds in a single group, we indicate that the same investment attitude and the same general method of analysis are applicable to both types. The very definite inferiority of the preferred stockholders' legal claim is here left out of account, for the logical reason that the soundness of the best investments must rest not upon legal rights or remedies but upon ample financial capacity of the enterprise. Confirmation of this viewpoint is found in the investor's attitude toward such an issue as National Biscuit Company Preferred, which for nearly 40 years has been considered as possessing the same *essential investment character* as a good bond.¹

Preferred Stocks Not Generally Equivalent to Bonds in Investment Merit. But it should be pointed out immediately that issues with the history and standing of National Biscuit Preferred constitute a very small

¹ See Appendix Note 6 for supporting data.